

HITECH PARKING SOLUTIONS PRIVATE LIMITED

Standalone Statement of Profit and Loss for the year ended March 31, 2019

(All amounts in Rs. unless otherwise stated)

	Notes	Year ended March 31, 2019
EXPENSES		
Finance costs		59
Other expenses	8	35,000
Total expenses		35,059
Profit before tax		(35,059)
Tax expense (net):		
Current tax		-
Total tax expense		-
Profit for the year		(35,059)
Total comprehensive income for the year		(35,059)

Corporate information and significant accounting policies

1 & 2

The accompanying notes are an integral part of the standalone financial statements

As per our report of even date

For and on behalf of the Board of Directors of Hitech Parking Solutions Pvt. Ltd.

For
Chartered Accountant
ICAI Firm registration number



Proprietor
M.No. 211391

UDIN: 1921139/AAAA051696.

Place: Bengaluru
Date: 13-Aug-2019

Place: Bengaluru
Date: 13-Aug-2019

HITECH PARKING SOLUTIONS PRIVATE LIMITED
Standalone Balance Sheet as at March 31, 2019
 (All amounts in Rs. unless otherwise stated)

ASSETS

Current assets

Financial assets

Cash and cash equivalents

Total assets

EQUITY AND LIABILITIES

LIABILITIES

Current liabilities

Financial liabilities

Other financial liabilities

Provisions

Total liabilities

EQUITY

Equity share capital

Other equity

Total equity and liabilities

Corporate information and significant accounting policies

The accompanying notes are an integral part of the standalone financial statements

As per our report of even date

For

Chartered Accountants

ICAI Firm registration No. RA-111



RAVI PRASAD THANTRY K R
CHARTERED ACCOUNTANT

Proprietor
 M.No. 211391

Place: Bengaluru
 Date: 13-Aug-2019

UDIN: 19211391AAAA051696

Notes

As at
March 31, 2019

3	1,000,041
	<u>1,000,041</u>
	<u>1,000,041</u>

4	100
5	35,000
	<u>35,100</u>

6	1,000,000
7	(35,059)
	<u>964,941</u>

	<u>1,000,041</u>
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1 & 2

For and on behalf of the Board of Directors
 of Hitech Parking Solutions Pvt. Ltd.

B. Anand

Place: Bengaluru
 Date: 13-Aug-2019

HITECH PARKING SOLUTIONS PRIVATE LIMITED

Standalone Statement of Changes in Equity for the year ended March 31, 2019

(All amounts in Rs. unless otherwise stated)

A. Equity share capital

Particulars	Number	Amount
Balance as at April 1, 2018		-
Changes in equity share capital during the year 2018-19	100,000	1,000,000
Balance as at March 31, 2019	100,000	1,000,000

B. Other equity

Particulars	Retained earnings
Balance as at April 1, 2018	-
Add: Profit for the year	(35,059)
Balance as at March 31, 2019	(35,059)

Corporate information and significant accounting policies

1 & 2

The accompanying notes are an integral part of the standalone financial statements

As per our report of even date

For and on behalf of the Board of Directors of Hitech Parking Solutions Pvt. Ltd



Proprietor
M.No. 211391

B. Anand

Place: Bengaluru
Date: 13-Aug-2019

Place: Bengaluru
Date: 13-Aug-2019

HITECH PARKING SOLUTIONS PRIVATE LIMITED
Standalone Statement of Cash Flows for the year ended March 31, 2019
 (All amounts in Rs. unless otherwise stated)

	<u>Year ended</u> <u>March 31, 2019</u>
Operating activities	
Profit before taxation	(35,059)
Changes in operating assets and liabilities:	
Increase / (Decrease) in current liabilities and provisions	35,100
Net cash from operating activities before taxes	<u>41</u>
Income taxes paid	-
Net cash from/ (used in) operating activities	<u>41</u>
Net cash used in investing activities	<u>-</u>
Financing activities	
Issue of share capital	1,000,000
Net cash used in financing activities	<u>1,000,000</u>
Net decrease in cash and cash equivalents	<u>1,000,041</u>
Cash and cash equivalents at the beginning of the year	-
Cash and cash equivalents at the end of the year (refer Note no. 3)	<u>1,000,041</u>

Corporate information and significant accounting policies
 The accompanying notes are an integral part of the standalone financial statements

As per our report of even date

1 & 2

For and on behalf of the Board of Directors of Hitech Parking Solutions Pvt. Ltd

[Handwritten Signature]

For
 Chartered Accountants
RAVIPRASAD THANTRY K R
 ICAI Firm registration number
CHARTERED ACCOUNTANT
 M.No. 211391
 BANGALORE
 PROPRIETOR
 M.No. 211391

Place: Bengaluru
 Date: 13-Aug-2019

Place: Bengaluru
 Date: 13-Aug-2019

HITECH PARKING SOLUTIONS PRIVATE LIMITED
Notes to Standalone financial statements for the year ending March 31, 2019

1. Corporate information

Hitech Parking solutions private limited is a private limited company domiciled in India and was incorporated on March 14, 2018 under the provisions of the Companies Act, 1956 applicable in India. The company is incorporated as subsidiary of Mindteck India Ltd., which is engaged in the business of rendering engineering and IT services to customers across various industry verticals in specific service horizontals.

2. Basis of preparation and significant accounting policies:

2.1. Basis of preparation:

The standalone financial statements of the Company have been prepared and presented in accordance with accounting principles generally accepted in India including Indian Accounting Standards (Ind AS) specified under Section 133 of the Companies Act, 2013 read with Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) and presentation requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS compliant Schedule III).

These standalone financial statements have been prepared on a historical cost basis, except for certain financial instruments which are measured at fair value at the end of each reporting period, as explained further in the accounting policies below.

- certain financial assets and liabilities that is measured at fair value/amortized cost.

The standalone financial statements are presented in Rs. ('₹') and all the values are rounded off to the nearest Rupee except when otherwise indicated.

2.2. Summary of significant accounting policies

a) Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

An asset is treated as current when it is:

- Expected to be realized in normal operating cycle or within twelve months after the reporting period
- Held primarily for the purpose of trading,
- Expected to be realized within twelve months after the reporting period, or
- Cash or cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle,
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realization in cash and cash equivalents. The Company has identified period of twelve months as its operating cycle.

b) Significant accounting judgements, estimates and assumptions

The preparation of the Company's standalone financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the reported amounts of assets and liabilities, the accompanying disclosures, and the disclosure of contingent assets and contingent liabilities on the date of the standalone financial statements and the reported amounts of revenues and expenses for the year reported. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the year in which the estimates are revised and future periods are affected.

Key source of estimation of uncertainty as at the date of standalone financial statements, which may cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year, is in respect of the following:

Fair value measurement of financial instruments:

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.



HITECH PARKING SOLUTIONS PRIVATE LIMITED
Notes to Standalone financial statements for the year ending March 31, 2019

c) Fair value measurement:

The Company measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability - or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

d) Financial instruments:

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i. Financial assets:

Initial recognition and measurement:

All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at fair value through Profit and Loss, transaction costs that are attributable to the acquisition of the financial asset.

Subsequent measurement:

For purposes of subsequent measurement, financial assets are classified in three broad categories:

- Debt instruments assets at amortized cost
- Financial assets at fair value through Other Comprehensive Income ("OCI") (FVTOCI)
- Financial assets at fair value through Profit and Loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

When assets are measured at fair value, gains and losses are either recognized entirely in the standalone statement of Profit and Loss (i.e. fair value through Profit and Loss), or recognized in other comprehensive income (i.e. fair value through other comprehensive income).



HITECH PARKING SOLUTIONS PRIVATE LIMITED

Notes to Standalone financial statements for the year ending March 31, 2019

ii. Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through Profit and Loss or at amortized cost, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

The Company's financial liabilities include trade payables, lease obligations, and other payables.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at amortized cost

After initial recognition, interest-bearing loans and borrowings and other payables are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in Profit and Loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the standalone statement of Profit and Loss.

Derecognition:

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the standalone statement of Profit and Loss.

iii. Offsetting of financial instruments:

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

iv. Reclassification of financial assets:

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If the Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognized gains, losses (including impairment gains or losses) or interest.

e) Revenue recognition:

There has been no operations carried out in the financial year and thus no revenue is recognized.

ii. Other income:

Dividend income is recognized when the Company's right to receive dividend is established, which is generally when shareholders approve the dividend.

Interest income is recognized as it accrues in the standalone statement of Profit and Loss using effective interest rate method.

Rental Income from investment property is recognized as part of other income in the standalone statement of Profit or Loss on a straight-line basis over the term of the lease except where the rentals are structured to increase in line with expected general inflation. Lease incentives granted are recognized as an integral part of the total rental income, over the term of lease.

iii. Service concession arrangements (SCA):

The Company implement or upgrades infrastructure (implementation or upgrade services) used to provide the smart/IT-based parking service and maintains that

Under Appendix D – Service Concession Arrangements to Ind AS 115 – Revenue from contracts with customers, the arrangement is accounted for based on the nature of the consideration. The intangible asset model is used to the extent that the operator receives a right (i.e. a concessionaire) to charge users of the public service. The financial model is used when the operator has an unconditional contractual right to receive cash or other financial assets from or at the direction of the grantor for the construction/implementation service. When the unconditional right to receive cash covers only part of the service, the two models are combined to account separately for each component. If the operator performs more than one service (i.e. construction, implementation, upgrade services and operation services) under a single contract or arrangement, consideration received or receivable is allocated by reference to the relative fair values of the service delivered, when the amount are separately identifiable.

The intangible assets model recognizes the asset to the extent of cost incurred or to be incurred (including certain obligations arising out the arrangement) towards getting the right to charge users of the public service. The intangible asset is amortized over the concession period i.e. 10 years, from the date they are available for use.

An asset carried under concession arrangements is derecognized on disposal or when no future economic benefits are expected from its future use or disposal.

The Company recognizes a financial asset to the extent that it has an unconditional right to receive cash or another financial asset from or at the direction of the



HITECH PARKING SOLUTIONS PRIVATE LIMITED

Notes to Standalone financial statements for the year ending March 31, 2019

f) Provision and contingencies:

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the standalone statement of Profit and Loss.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

Provisions for onerous contracts, i.e. contracts where the expected unavoidable costs of meeting obligations under a contract exceed the economic benefits expected to be received, are recognized when it is probable that an outflow of resources embodying economic benefits will be required to settle a present obligation as a result of an obligating event, based on a reliable estimate of such obligation.

Provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured with sufficient reliability. The Company does not recognize a contingent liability but discloses its existence in the standalone financial statements.

A contingent asset is disclosed, where an inflow of economic benefits is probable.

g) Earnings per share:

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares.

As there are no operations and no revenue is generated during the year Earnings per share has not been calculated for the year.

h) Cash and cash equivalents:

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value are unrestricted for withdrawal and usage.

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management.

Statement of cash flow:

Cash flows are reported using the indirect method, whereby profit/(loss) for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated.

